Policy Dilemma

In the global economy, food prices have become increasingly unstable. This makes it difficult for consumers to predict the costs of food and for producers to plan production. Food commodities in recent years have also been treated as financial assets, which means they can be bought and sold for profit. The financialization of food, when financial institutions and markets treat food as investments, has caused food prices to be interconnected with investment trends. As a result, price fluctuations can have effects on economies around the world. Global food production contributes to ten percent of the world's gross domestic product (GDP), as well as providing forty percent of jobs around the world.[1] Beyond just a market issue, food inflation is also a social concern, resulting in food insecurity in vulnerable countries. The involvement of financial investors who view food as a commodity to drive up profits has an impact on how people can pay for a basic necessity.

The prices of food commodities have been closely linked to the stock market due to the 2008 global financial crisis.[2] Rice, wheat, and corn have been traded as investments, meaning that prices can either increase or decrease. Inflation could occur independently of supply and demand. Importing nations are often affected the most as they rely on prices to stay stable to provide enough food for their populations. Exporting nations can sell food to the highest bidder to make more money. With that, agribusinesses attract money from these investors who treat the farms where crops grow as investments, heavily affecting people and the environment in different ways.[3]

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[1]Aurora Matteini and Derek Baraldi, "Food Finance Is Vital in the Face of Rising Climate Risks," World Economic Forum, August 6, 2025, https://www.weforum.org/stories/2025/08/food-finance-climate-playbook/.

[2] Daniele Girardi, 2015, "Financialization of Food. Modelling the Time-Varying Relation between Agricultural Prices and Stock Market Dynamics," International Review of Applied Economics 29 (4): 482–505, https://doi.org/10.1080/02692171.2015.1016406.

[3] Geoffrey Lawrence and Kiah Smith, "The concept of 'financialization': Criticisms and insights," *In The Financialization of Agri-Food Systems,* pp. 23-41, Routledge, 2018, https://www.taylorfrancis.com/chapters/edit/10.4324/9781315157887-2/concept-financialization-geoffrey-lawrence-kiah-smith.

Finance directly controls production, and markets are driven by speculation, resulting in a system that struggles to keep resources cheap.[4] Food is being treated primarily as a financial investment rather than a necessity; this ultimately leads to price hikes during economic crises, and food being unaffordable to people in vulnerable nations. Traders are able to directly influence the price of food by betting on any future shortages, while on the other hand, farmers are expected to grow crops for high-profit exports without any protections. The food production systems set in place are designed to respond to demand rather than local hunger. Thus, populations in vulnerable regions face increasing prices even if there is enough food to feed them. Despite government policies such as trade limits or price supports, food prices are still driven by global economic links.[5] Without any real protections set in place, speculative markets will continue to determine the price of food for populations.

Throughout the past few decades, the United Nations Conference on Trade and Development (UNCTAD) committee has positioned itself to address trade issues that affect the economies of nations. Policy recommendations have been implemented to help countries stabilize their markets. UNCTAD serves as the United Nations's focal point for supporting finance and investment in developing countries to contribute to sustainable development.[6] A specific instance of a past solution to food inflation and insecurity was the creation of the International Digital Council for Food and Agriculture. With the main priority of achieving the Sustainable Development Goals (SDGs), this Council was created to improve current food systems by using digital technologies to improve efficiency in agriculture.[7] International actors have explored technological innovation coupled with investment techniques that can allow for food systems to be accessible and

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[4] Jason W. Moore, "Cheap Food & Bad Money: Food, Frontiers, and Financialization in the Rise and Demise of," Review (Fernand Braudel Center) 33, no. 2/3 (2010): 225–61, http://www.jstor.org/stable/23346883.
[5] John W. Freebain, Gordon C. Rausser, and Harry de Gorter, "Government intervention and food price inflation." (1981), https://escholarship.org/content/qt9ch8f2xv/qt9ch8f2xv.pdf.
[6] Helen Canton, "United nations conference on trade and development—unctad," In *The Europa directory of international organizations 2021*, pp. 172-176, Routledge, 2021, https://www.taylorfrancis.com/chapters/edit/10.4324/9781003179900-26/united-nations-conference-trade-development—unctad-helen-canton.
[7] Sarah Hackfort, 2025, "Transformations, Policy, and Politics in the Agri-Food System: Entanglements of Concentration, Financialization, and Digitalization," *Critical Policy Studies* 19 (4): 742–54, https://doi.org/10.1080/19460171.2025.2545796.

affordable for populations, specifically in nations where their populations are more vulnerable. As UNCTAD moves forward, efforts to support sustainable investment practices should be taken into consideration, because without any regulations set in place, food prices will continue to increase, and food security is at risk.

Chronology

1960s-1980s: The Emergence of Financialization

Decades after World War II which took place in the early 1900s, advanced economies started to see a shift in where their economic growth came from. Along with this shift, economic stability later on in the 1970s declined, and this questioned the manufacturing-led expansion during this time period. This allowed for financial markets to play a larger role in creating profits. In the United States, domestic firms started to prioritize the investment of financial assets instead of the expansion of production to increase profits.[8] This shift reflected how financial returns were more valuable than those from manufacturing. Corporations were able to decide where to put their resources, and it would allow them to focus on managing their financial activities instead of expanding production. Companies tend to put their money into financial speculation and luxury consumption due to the low return on physical capital; this is often encouraged by government policies that favor wealthy individuals.[9] Financial strategies became an integral part to businesses and how it can plan their idea of success. This new and renowned focus allows firms to influence decision-making processes while also deciding where to allocate resources based on these decisions. Financial activities became more important in the economy once non-financial firms earned most of their income through

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[8] Van Arnum, Bradford M., and Michele I. Naples, "Financialization and Income Inequality in the United States, 1967-2010," *The American Journal of Economics and Sociology* 72, no. 5 (2013): 1158–82, http://www.jstor.org/stable/43818639.

[9] Van Arnum, Bradford M., and Michele I. Naples, "Financialization and Income Inequality in the United States, 1967-2010," http://www.jstor.org/stable/43818639.

investments instead of the selling of products.[10] Both investments and other financial sources became the way that companies earned a majority of their profits. Financialization is essentially a symbol that represents a break from the postwar economy, which was initially focused on industrialization, but is now moving towards financial performance.[11] This new way for firms to invest their money also reflected a shift from producing necessary goods for the public to achieving financial success in company profits. Financial returns became the staple of how businesses determined their success.

2000: The Commodity Futures Modernization Act (CFMA)

In 2000, the Commodity Futures Modernization Act (CFMA) was adopted in the United States. This act allowed for more speculative investment in commodity futures markets within agriculture, along with adding new ways for firms to trade and invest.[12] Commodity futures markets allowed for the buying and selling of basic, raw materials through contracts. Previous restrictions on trading were removed, allowing the CFMA to directly grant firms more flexibility in how they wanted to engage within commodity futures markets. This act also encouraged participation from investors with the expansion of contracts and financial instruments. To increase returns, market participants were allowed to explore more trading strategies through this expansion. The deregulation created by the CFMA expanded futures trading, made possible by advancements in communication technology and further interconnecting markets.[13] Throughout various commodities and markets, trading strategies were made a lot easier with the introduction of new technologies among different firms. With the advancements in technology, the growth of electronic trading platforms allowed for all investors to invest in futures

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[10] Greta R. Krippner, "The financialization of the American economy," *Socio-economic review* 3, no. 2 (2005): 173-208, https://doi.org/10.1093/SER/mwi008.
[11] Gerald F Davis, and Suntae Kim, 2015, "Financialization of the Economy," *Annual Review of Sociology* (Palo Alto) 41 (1): 203–21, https://doi.org/10.1146/annurev-soc-073014-112402.
[12] Snygg Kvernes, Gabriel, and Albin Lagerlöf, "Gambling with grains? A critical case study of the US Commodity Futures Modernization Act and its implications for global food insecurity," (2022), http://lup.lub.lu.se/student-papers/record/9069803.
[13]Graciela Kaminsky, and Manmohan S. Kumar, "Efficiency in Commodity Futures Markets," *Staff Papers (International Monetary Fund)* 37, no. 3 (1990): 670–99, https://doi.org/10.2307/3867269.

markets with greater accessibility. Investors could enter and exit positions more frequently due to increased liquidity. Heavily traded commodities like crude oil are an important part of investor portfolios for futures contracts since they dominate major commodity indexes, or tracking the price for commodities like food.[14] Commodities such as products for agriculture, energy resources, and metals that were high in value were subject to more trading activity under new regulations made by the CFMA. Commodity markets were being seen as areas for new investment and trading opportunities, beyond their initial agricultural and industrial uses.

2007-2008: Global Food Crisis

The late 2000s marked a significant period where global food prices started to see a sharp increase. The ability to access and afford essential commodities like food were extremely limited due to this period of food inflation, since many small-scale producers and households were directly affected by this. The idea of cheap food is seen as no longer attainable due to the growing instability of industrial agriculture; this ultimately led to a higher volatility of food prices after 2007 and had the most negative impact on populations dependent on food imports.[15] The intervention of intergovernmental organizations was inevitable due to the growing instability of food to prevent any future shortages. With that, the economies of many nations were at risk, particularly those that are extremely reliant on the imports of food for consumption. The budget of a poor family could be consumed by the continued increase in food prices, giving them very little to spend on other necessities and leading them to poverty.[16] Families were struggling due to the unpredictable conditions of food markets as food insecurity became a worldwide concern. As a result of the sudden price spikes for essential food products in vulnerable regions, there was a growth in social tensions and unrest among communities.

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[14] Pan Liu, Dmitry Vedenov, and Gabriel J. Power, "Commodity financialization and sector ETFs: Evidence from crude oil futures," *Research in International Business and Finance* 51 (2020): 101109, https://doi.org/10.1016/j.ribaf.2019.101109.

[15] Tony Weis, 2013, "The Meat of the Global Food Crisis," *The Journal of Peasant Studies* 40 (1): 65–85, https://doi.org/10.1080/03066150.2012.752357.

[16] Jennifer Clapp, "WORLD HUNGER AND THE GLOBAL ECONOMY: STRONG LINKAGES, WEAK ACTION," *Journal of International Affairs* 67, no. 2 (2014): 1–17, http://www.jstor.org/stable/24461732.

Not only did financial speculation in agricultural commodities increase food price volatility, but it also indirectly forced weaker actors out of the market, leading to the concentration of land being in the hands of agribusinesses.[17] This created a cycle where small farmers and their local producers lost access to the market, while large agribusinesses were able to gain a lot more control over supply chains in food markets to generate more profits. Further inequality would be created with the dominance of large corporations. Higher food price spikes returned in 2012, despite food prices stabilizing in 2009.[18] There was clear continued price instability that directly showed the vulnerabilities within global agricultural markets. Market analysts began to research the factors that contributed to the continuing volatility of food prices. From 2006 to 2008, studies conducted to determine global food insecurity were very scattered, as some indicated a decrease of twenty-five million in those that were affected while others showed a six million increase.[19] On a global scale, this discrepancy revealed the problem in measuring food insecurity. Even though variations in data led to unclear results, this global food crisis had an impact on millions of people in vulnerable populations.

2011: The Arab Spring and Global Food Price Pressures

Following the global food crisis, many countries struggled to fully recover from food volatility. People's priorities had shifted, as the rising costs for many essential goods resulted in many households making trade-offs in terms of future purchases. The spikes of different food prices have made markets increasingly less predictable due to global supply and demand pressures. Small shifts in price became more noticeable as households faced the immediate consequences of these changes. In the Middle East, protests against the Arab Spring were fueled by both the unaffordability of food prices and the perception of government corruption.[20] This meant that there was a widespread

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[17] Fama, Marco, and Mauro Conti, "Food security and agricultural crises in a financialized food regime," *Cambio: rivista sulle trasformazioni sociali: 23, 1, 2022*(2022): 85-97, https://digital.casalini.it/10.36253/cambio-13164.
[18] Tony Weis, 2013, "The Meat of the Global Food Crisis."
[19] Derek D. Headey, "The impact of the global food crisis on self-assessed food security," *The World Bank Economic Review* 27, no. 1 (2013): 1-27, https://doi.org/10.1093/wber/lhs033.
[20] Chonghyun Christie Byun and Ethan J. Hollander, "Explaining the intensity of the Arab Spring," *Digest of middle east studies* 24, no. 1 (2015): 26-46, https://doi.org/10.1111/unaffordabilityweredome.12057.

and shared concern among the people of this region. During this revolutionary period, cities became arenas of contestation among different social and political forces as the control over territories reflected the struggle for power.[21] These cities were focal points where groups essentially competed for influence over how prices were being managed, as the movement through markets showed the tension between food demand and scarcity. The cycles of financialization intensified once financial markets were able to expand to their limits.[22] In Yemen, the events tied to the Arab Spring led to the increase of food prices, showing how political instability and global market forces escalated food insecurity.[23] The changes in global food systems exposed the vulnerability of populations to price increases. Both the social and economic pressures created by constant changes in the food market resulted in shared uncertainty among communities regarding the affordability of basic necessities. The events of the Arab Spring showcase how the lived experience of communities with price increases result in their unrest.

2020: COVID-19 Pandemic and Supply Chain Disruptions

Supply chain interruptions occurred at the start of the COVID-19 pandemic, as shocks to global supply chains forced businesses to adapt to new operational challenges. Economies were heavily impacted as soon as the COVID-19 pandemic hit, specifically in the way financial markets were able to dominate the real economy, causing financial capital to be directly withdrawn; this only deepened economic disruption beyond the virus itself.[24] Shortages were experienced by many industries that relied heavily on essential goods and raw materials as this directly affected product availability for consumers and manufacturers. These shortages led to delays, and these delays led to the

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[21] ROMAN STADNICKI, LEÏLA VIGNAL, and PIERRE-ARNAUD BARTHEL, "Assessing Urban Development after the 'Arab Spring': Illusions and Evidence of Change," *Built Environment (1978-)* 40, no. 1 (2014): 4–13, http://www.jstor.org/stable/43296868.
[22] BRIAN T. EDWARDS, "Arab Spring, American Autumn," In *American Studies Encounters the Middle East*, edited by Alex Lubin and Marwan M. Kraidy, 159–72, University of North Carolina Press, 2016, http://www.jstor.org/stable/10.5149/9781469628851_lubin.10.
[23] Md Abdul Bari, Mohammad Ajmal Khuram, Ghulam Dastgir Khan, and Md K. Bin Kamal, "From revolution to inflation: the economic consequences of the Arab spring on Yemen's food prices," *Humanities and Social Sciences Communications* 12, no. 1 (2025): 1-8, https://doi.org/10.1057/s41599-025-05777-w.
[24] Jan Douwe Van der Ploeg, "From biomedical to politico-economic crisis: the food system in times of Covid-19," *The Journal of Peasant Studies* 47, no. 5 (2020): 944-972, https://doi.org/10.1080/03066150.2020.1794843.

increase of costs to make up for shortages and transportation. An increase in lending was caused by the loosening of credit and financial deregulation, as ordinary assets were turned into financial instruments for speculation.[25] Investors redirected capital away from any traditional economic activities, and they focused more on financial speculation within markets instead of supporting productive sectors. There was a clear dominance of financial markets over the real economy, with corporate strategies becoming more refined during this health crisis. Large corporations used their own financial resources while relying less on bank loans, as banks focused on trading within financial markets instead of lending.[26] Under conditions placed by the pandemic, these shortages and the price volatility in different sectors showed the vulnerability of global supply chains. The rapid decoupling of financial and production systems revealed how these networks were susceptible to economic shocks.

2022-Present: Russia-Ukraine War

The war between Russia and Ukraine not only created a military crisis between the two nations, but also a large disruption in food and energy markets across the world. Trade and shipping routes for essential food commodities such as grain and fertilizer were completely blocked as this affected exporting and importing countries. The conflict within Russia and Ukraine globally interrupted the flow of agricultural commodities, such as crude oil, natural gas, and fertilizer; this resulted in price surges that affected both importing and exporting nations.[27] Consumers and producers alike faced the rising costs of essential goods, so the accessibility of these products became very limited. According to the Food and Agriculture Organization of the United Nations (FAO), events such as the ongoing conflict and COVID-19 have created agricultural shocks to supply and demand

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[25] Grace Blakeley, "Financialization, real estate and COVID-19 in the UK," *Community Development Journal* 56, no. 1 (2021): 79-99, https://doi.org/10.1093/cdj/bsaa056.
[26] Michael A. Peters, and Petar Jandrić, "Surreal economics, fiscal stimulus, and the financialization of public health: Politics of the covid-19 narrative," *Educational philosophy and theory* 54, no. 6 (2022): 662-667, https://doi.org/10.1080/00131857.2021.1929170.
[27] Phyllis Papadavid, "Africa's Threefold Shock from the Russia–Ukraine War," *The Russia–Ukraine War: Selected Economic Impacts on African Women*, ODI, 2023, http://www.jstor.org/stable/resrep53496.7.

while also disrupting global supply chains to contribute to food inflation.[28] Throughout both international and domestic economies, these shocks can overall intensify market volatility within multiple areas. Ultimately, geopolitical tensions within just one region can impact global food insecurity and shows how war and economic systems are intertwined.

Actors and Interests

Financial Institutions

Financial institutions play a key role in food production across agricultural systems. By expanding access to both investment and credit opportunities for farmers, they are responsible for maintaining economic growth and stability. They also manage risk and have an influence on how agricultural markets develop. Research shows that the better financial institutions perform, the more economies grow as stronger banks help contribute to that.[29] As a result, financial institutions face significant pressure to maintain stability and discipline, since their decisions have a direct effect on national and global economic performance.

Development Finance Institutions, or DFIs, are responsible for handing out loans to farmers and agribusinesses. However, access to financial services remains highly unequal, especially in rural and conflict-affected areas worldwide, as restrictions are stringent and institutions are weak.[30] Greater financial access is essential for supporting the production of food; financial institutions achieve this through expanding investment opportunities within the agricultural sector. At the same time, DFIs protect their own

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[28] Iryna Hrabynska, Mariya Kosarchyn, and Anna Dąbrowska, "Economic imperatives of financialization of agricultural commodity markets," *Agricultural and Resource Economics: International Scientific E-Journal* 8, no. 3 (2022): 5-25, https://doi.org/10.22004/ag.econ.330337.
[29] Rexford Abaidoo and Elvis Kwame Agyapong, "Inflation uncertainty, macroeconomic instability and the efficiency of financial institutions," *Journal of Economics and Development* 25, no. 2 (2023): 134-152, https://doi.org/10.1108/JED-09-2022-0166.
[30] Asep Yusup Mamun and Várallyai László, "The Role of Development Financial Institutions in Agricultural Sustainable Development: A Systematic Literature Review," *Journal of Agricultural Informatics* 16, no. 1 (2025), https://doi.org/10.17700/jai.2025.16.1.752.

stability by controlling risks, ultimately resulting in stricter requirements relating to financial support. International Financial Institutions (IFIs) were created on the basis of developing strategies for farmers to address issues in poverty, and work with governments to help address issues in climate change and nutrition.[31] However, many smallholder farmers and small- and medium-sized enterprises face limited access to financial services, particularly in rural and conflict-affected areas, which keeps them from fully participating in food value chains.[32]

Structural barriers exist where smaller producers struggle to compete with larger and more capitalized producers with greater access to credit. Particularly in conflict-affected or underdeveloped countries, agricultural productivity is very low due to weak financial systems. Farmers in such countries often lack access to affordable loans,[33] leaving them unable to purchase the necessary inputs for production. Thus, slower agricultural development occurs as a result of low investment. Financial institutions must balance the expansion of financial access with the need to increase agricultural productivity and economic development.

Agribusiness Corporations

Institutional investors, including insurance companies and pension funds, play an important role in global agricultural markets, particularly in buying farmland. Alongside agribusiness corporations and investment banks, [34] these investors affect what regions receive more financial attention, influencing farmland markets. In addition to directly affecting financial access, investors can also indirectly influence future cropping patterns, which can generate both opportunities and risks depending on whether investments

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[31] Jaron Porciello, Paul Winters, Mohammed Farrae, Julia McKenna, and Lauren Phillips, "Do international financial institutions facilitate agrifood systems transformation? A textual analysis of design documents," *Global Food Security* 45 (2025): 100845, https://doi.org/10.1016/j.gfs.2025.100845.

[32] Sayeda Zeenat Maryam and DR ASHFAQ AHAMAD, "Use of financial technology for agricultural financing through Islamic financial institutions," *International Journal of Business and Economic Affairs* 6, no. 6 (2021): 1-10, https://doi.org/10.24088/IJBEA-2021-66001.

[33] Alberto Lemma, Sherillyn Raga, Dirk Willem te Velde, and Steve Wiggins, "The role of development finance institutions in addressing food security in vulnerable contexts," *ODI Analysis*, 2023, https://hdl.handle.net/10419/300896.

[34] Hilde Bjørkhaug, André Magnan, and Geoffrey Lawrence, "Introduction: the financialization of agri-food," In *The financialization of agri-food systems*, pp. 1-20. Routledge, 2018, https://doi.org/10.4324/9781315157887.

support sustainable food production or contribute to market concentration and reduced food system resilience.

From the early twentieth century, studies have shown that farmers, particularly small-scale producers, struggled to obtain adequate amounts of money from loans for farming. Banking systems were often not designed to give farmers the necessary amount of loans, and farm loans were typically more expensive and less accessible than credit provided to other industries.[35] Thus, many farmers found it difficult to invest in equipment for production. As a result, the structure of financial systems had a direct influence on the growth of agriculture, and farmers had a structural disadvantage compared to other sectors of the economy.

According to the Brazilian Agribusiness Association (ABAG), the implementation of taxes on financial tools may increase food prices while also making production and credit more expensive.[36] Supporters of financial liberalization argue that financial tools are essential to create economic growth as they help channel investment into agribusiness, promote innovation, and expand production capacity. The primary objective of agribusinesses is to meet their country's food demand, but they also help to improve the development of rural areas by creating employment opportunities and increasing income.[37] Beyond the economic sector, agribusinesses have an influence on the social developments of different regions, and increased productivity results in better access to resources. Thus, there is a connection between agribusiness decisions and the economy that creates market stability and better livelihoods. A shortage of food resources or instability in supply chains can impact the long-term success of a company, incentivizing agribusiness corporations to adopt longer-term strategies that balance economic returns

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[35] Robert P. King, Michael Boehlje, Michael L. Cook, and Steven T. Sonka, "Agribusiness Economics and Management," *American Journal of Agricultural Economics* 92, no. 2 (2010): 554–70, http://www.jstor.org/stable/40648002.

[36] *Less Credit and More Inflation: Agribusiness Declares War against New Government Taxes*, In CE Noticias Financieras, English ed. ContentEngine LLC, a Florida limited liability company, 2025, https://www.proquest.com/docview/3217892276/fulltext/E6EE24EB2BBE4F41PQ/1.

[37] Viktoria Kyfyak, Liudmyla Verbivska, Liudmyla Alioshkina, Natalia Galunets, Larysa Kucher, and Svitlana Skrypnyk, "The influence of the social and economic situation on agribusiness," (2022), https://www.wseas.com/journals/ead/2022/c045115-845.pdf.

with social and environmental considerations.[38] Additionally, growing awareness of environmental, social, and governance risks has encouraged some firms to consider broader social responsibilities like sustainability.

Importing Nations

To meet domestic demand, many countries, particularly developing and emerging economies, rely heavily on food imports. The economies of nations that rely on exports react a lot more since changes in global food prices affect food security. The Impulse Response Function (IRF), which measures how one variable would react if there is a shock, or impulse, in another variable, is an analytical tool used to assess these relationships.[39] In the context of food imports, IRF analysis helps determine changes in inflation. This function is important for importing countries because it shows how global food price changes have a direct impact on domestic markets. These external factors are necessary to help policymakers prepare for potential food insecurity. An IRF report suggests that inflation often has a positive relationship with food imports.[40] In order to maintain a relative amount of supply when a high price volatility occurs, import-dependent nations purchase more food. Thus, countries import more food when inflation spikes.

In emerging markets, the availability of food directly impacts food security, and this is affected by import capacity and domestic production. Rising global food prices can lead to food unavailability if populations are unable to afford higher costs.[41] Policymakers therefore face the challenge of striking a balance between how their food is produced and

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[38] Henrike Luhmann and Ludwig Theuvsen, "Corporate social responsibility in agribusiness: Literature review and future research directions," *Journal of Agricultural and Environmental Ethics* 29, no. 4 (2016): 673-696, https://doi.org/10.1007/s10806-016-9620-0.
[39] Tong-Chuan Che, Huan-Feng Duan, and Pedro J. Lee, "Transient wave-based methods for anomaly detection in fluid pipes: A review," *Mechanical Systems and Signal Processing* 160 (2021): 107874, https://doi.org/10.1016/j.ymssp.2021.107874.
[40] Abraham E. Opke, and Fredrick Ikpesu, "EFFECT OF INFLATION ON FOOD IMPORTS AND EXPORTS," *The Journal of Developing Areas* 55, no. 4 (2021): 1–10, https://www.jstor.org/stable/27047395.
[41] María del Rosario Venegas, Jorge Feregrino, Nelson Lay, and Juan Felipe Espinosa-Cristia, 2024, "Food Financialization: Impact of Derivatives and Index Funds on Agri-Food Market Volatility," *International Journal of Financial Studies* 12, no. 4: 121, https://doi.org/10.3390/ijfs12040121.

making sure that the price of imports are affordable to feed their population. To prevent any future shortages in food, stable and predictable import costs are prioritized.

In countries that see both of their imports and exports respond to exchange rates, there will be an increase in exports and a decrease in imports with a higher exchange rate.[42] When a country's currency appreciates, imports become relatively cheaper while exports may decline; conversely, currency depreciation increases import costs and can reduce food availability. These shifts in exchange rates determine whether or not countries are able to purchase the necessary goods from other parts of the world. Governments in import-dependent economies often seek policies that would protect their purchasing power. Their main priorities are related to managing exchange rates in order to ensure that they have enough food supplies. However, Developing and Emerging Economies (DEEs) frequently face constraints within international financial markets, resulting in uneven development due to limited influence on exchange rates or capital flows.[43] Thus, DEEs have less control over financial conditions within their markets, directly shaping how they can import goods for their populations. Their disadvantaged position results in them pursuing policy interests that aim to reduce vulnerability when these shifts occur.

In many DEEs, changes in import prices and exchange rate pass-through have a positive but uneven relationship, which means that fluctuations in import prices only partially affect domestic prices.[44] Domestic prices are affected by changes in costs of imports and can encourage competition between corporations.[45] Exchange rate pass-through refers to how changes in international prices are transmitted through the importing nation's domestic market. This means that global food prices affect domestic food prices. This transmission is often uneven and outcomes are unpredictable, so many

[42] Bruno Bonizzi, "Financialization in Developing and Emerging Countries: A Survey," *International Journal of Political Economy* 42, no. 4 (2013): 83–107, http://www.jstor.org/stable/24696310.
[43] Pablo G. Bortz and Annina Kaltenbrunner, "The international dimension of financialization in developing and emerging economies," *Development and change* 49, no. 2 (2018): 375-393, https://doi.org/10.1111/dech.12371.
[44] Juha Junttila and Marko Korhonen, "The role of inflation regime in the exchange rate pass-through to import prices," *International Review of Economics & Finance* 24 (2012): 88-96, https://doi.org/10.1016/j.iref.2012.01.005.
[45] Younes Ait Hmadouch, "Domestic and external drivers of inflation in oil importing developing countries," *International Journal of Energy Economics and Policy* 15 (2025), https://doi.org/10.32479/ijeep.17763.

DEEs face uncertainty when it comes to global price changes. Thus, importing countries must find a way to stabilize these price shocks to manage their economies. If a country imports a large portion of necessary goods, there will be a greater exchange rate pass-through as changes in import prices will directly affect domestic prices.[46] Firms rely on imported inputs, so domestic production costs are linked with international market conditions.

Exporting Nations

Exporting nations monitor inflation because price fluctuations directly affect competitiveness in international markets. Rising domestic inflation can impact their ability to sell products to other nations. Demand for foreign imports is increased due to inflation, and imported goods become cheaper while exported goods become more expensive.[47] Thus, exporting nations find their products to be less captivating since they become more expensive than other prices they are competing with. To maintain a level of trade performance, the export-driven economies try to manage their prices through exchange rate management.

These challenges are particularly pronounced in countries with structural vulnerabilities or a history of exposure to global food and financial crises. For example, in Hungary and Slovenia, pre-crisis patterns linked to the 2007-2008 global food crisis worsened economic vulnerabilities.[48] Financial instability in relations to trade in the past continues to affect export capacity to this day, making it much harder for exporting countries to face long-term exposure. Similarly, countries with high levels of gross external debt and financial needs face heightened risks when global financial conditions

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[46] Jonathan McCarthy, "Pass-through of Exchange Rates and Import Prices to Domestic Inflation in Some Industrialized Economies," *Eastern Economic Journal* 33, no. 4 (2007): 511–37, http://www.jstor.org/stable/20642375.

[47] Abraham E. Okpe and Fredrick Ikpesu, "EFFECT OF INFLATION ON FOOD IMPORTS AND EXPORTS," https://www.jstor.org/stable/27047395.

[48] Joachim Becker, Predrag Cetkovic, Rudy Weissenbacher, G. Cozzi, S. Newman, and J. Toporowski, "Financialization, dependent export industrialization, and deindustrialization in eastern Europe," *Finance and industrial policy: Beyond financial regulation in Europe* (2016): 41-64, https://doi.org/10.1093/acprof:oso/9780198744504.003.0004.

tighten. In Ukraine, for instance, external debt level equals 212.5 percent of exports.[49] If a country can make enough money by selling their goods to other countries, only then will they be able to pay those countries back. This creates a need for exporting countries to manage their debt when they are unable to recover sufficient funds. This also directly creates a dependence on countries making profits from their exports so that they can keep their economies balanced through consistent trade flows.

There are methods used for cross-country comparisons as they directly tell their efficiency frontier analysis and large investment projects' unit cost calculations.[50] In other words, methods used to help exporting countries determine how their goods compete with other countries can help them efficiently produce more goods in the future. Real commodity prices are used when calculating terms-of-trade since that is a better way to measure any external economic shocks rather than using an export-to-import ratio.[51] This way, real price changes are more focused on and countries can see how shifts in demand affect the value of the products they sell. They would want to analyze how these price shocks affect their economies so they can develop new strategies to adjust both supply and pricing.

Terms-of-trade is a common analytical tool used to assess how much a country gains from its export prices compared to import prices. Measures regarding food protectionism were put in place by large food-exporting countries, and as a result, negatively affected net food-importing countries by increasing food prices.[52] In order to manage both food security and their prices, these implemented measures give exporting countries more control over supply and even limit trade to prevent inflation. This can have a direct effect on global market conditions.

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[49] Tetiana Bogdan and Vitalii Lomakovych, "Financialization of the global economy: macroeconomic implications and policy challenges for Ukraine," *Investment Management & Financial Innovations* 18, no. 1 (2021): 151, https://doi.org/10.21511/imfi.18(1).2021.13.
[50] Maria Albino, Svetlana Cerovic, Juan Flores, et al, "Making the Most of Public Investment in MENA and CCA Oil-Exporting Countries," *International Monetary Fund*, 2014, https://doi.org/10.5089/9781498311397.006.
[51] Magali Dauvin, "Energy Prices and the Real Exchange Rate of Commodity-Exporting Countries," *Fondazione Eni Enrico Mattei* (FEEM), 2013, http://www.jstor.org/stable/resrep01004.
[52] Sonia Akter, "The effects of food export restrictions on the domestic economy of exporting countries: A review," *Global Food Security* 35 (2022): 100657, https://doi.org/10.1016/j.gfs.2022.100657.

In developing countries, even if processed food exports have increased, there remains an uneven distribution of the benefits they bring. Upper-middle and middle-income countries, as classified by the World Bank, have generally expanded their processed food exports more successfully than low-income countries.[53] Due to factors such as production capacity and technological advancements, not every nation will reap the same benefits. As a result, exporting nations increasingly seek to gain more value from the products they sell by investing in better food processing industries, since increasing exports do not guarantee higher profits. Beyond low-price exports, product quality is also taken into consideration when determining the success or failure of food, allowing advanced countries to compete with traditional industries.[54] Exporters can still maintain their market share with quality differentiation, regardless of how much goods cost. Thus, production standards are now taken into consideration when it comes to competition.

Possible Causes

Liberalization of Trade

When it comes to food financialization stability, trade liberalization remains a key concern. Trade liberalization generally refers to low restrictions to trade between nations and the reduction of barriers such as tariffs and subsidies. This is specifically used to facilitate the free flow of agricultural goods across borders as these policies are often intended to increase efficiency while enhancing global food availability. An argument can be made that if countries adopted trade protection policies, then that would start a trade war with nations unable to cooperate with the World Trade Organization and it

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[53] Juthathip Jongwanich, "The impact of food safety standards on processed food exports from developing countries," *Food policy* 34, no. 5 (2009): 447-457, https://doi.org/10.1016/j.foodpol.2009.05.004.

[54] Donatella Baiardi, Carluccio Bianchi, and Eleonora Lorenzini, "Food competition in world markets: Some evidence from a panel data analysis of top exporting countries," *Journal of agricultural economics* 66, no. 2 (2015): 358-391, https://doi.org/10.1111/1477-9552.12094.

would drastically affect economies.[55] Although protectionist measures are often criticized for limiting cooperation and potentially triggering trade disputes, the effects of liberalization on domestic food prices and stability remain uneven. In many cases, domestic prices are influenced by global demand, along with speculation and price fluctuations. Furthermore, the reduction of agricultural subsidies under trade liberalization policies, which are grants given by governments, can place farmers in developing nations at a competitive disadvantage, as they must compete with cheaper imports from more industrialized agricultural producers. For example, in parts of South Asia, including Nepal, tariffs are being reduced to the lowest level due to trade liberalization, with the removal of state-led programs that distribute food and financial aid for farmers.[56]

Domestic agricultural producers face increased vulnerability as a result of low trade protection, particularly in developing economies. Evidence suggests a positive correlation with tariffs on commodities, with low tariffs on raw agricultural materials reducing the cost of imported food inputs, and higher tariffs on processed food products causing prices to be more volatile. This is a result of "effective production" policies, which maximizes outputs while minimizing inputs, which slows the development of domestic food processing industries. Compared with raw materials, processed food exports face higher tariff barriers due to "effective production" and can affect the growth of processed food production in developing countries and farmers are essentially being forced out of food production.[57] This restricts developing countries from participating in global value chains and hinders industrial growth. This is an issue for countries that heavily rely on food inputs for the growth of their economies. In the context of trade liberalization, reduced subsidies and lower import barriers may expose domestic farmers to competition from cheaper food imports, which can cause them to leave farming as a

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[55] Sèna Kimm Gnangnon, "Multilateral Trade Liberalization and Economic Growth," *Journal of Economic Integration* 33, no. 2 (2018): 1261–1301, http://www.jstor.org/stable/26431808.

[56] Bishwambher Pyakuryal, Devesh Roy, and Y. B. Thapa, "Trade liberalization and food security in Nepal," *Food policy* 35, no. 1 (2010): 20-31, https://doi.org/10.1016/j.foodpol.2009.09.001.

[57] Allan Rae and Tim Josling, "Processed food trade and developing countries: protection and trade liberalization," *Food Policy* 28, no. 2 (2003): 147-166, https://doi.org/10.1016/S0306-9192(03)00016-2.

whole.[58] While trade liberalization can enhance efficiency within agricultural sectors to make production faster, it also creates competition between domestic farmers and cheaper imports, particularly from highly industrialized agricultural systems. Although this competition creates a structural disadvantage for domestic farmers, competition can also strengthen efficiency in food production.

Speculative Investment in Commodities

Speculative investment is how traders buy and sell contracts with the goal of increasing profits. Financial institutions and investors participate in agricultural markets primarily through the buying and selling of commodity contracts, rather than through direct involvement in food production or distribution. While futures markets were originally designed to help producers and buyers manage price risk, the growing presence of hedge funds and other financial actors has altered market dynamics. A chain reaction is triggered when hedge funds and other financial actors speculate on commodities such as wheat, maize, or soy as these actions may signal expected price movements to other investors.[59] Hedge funds are able to signal how prices are expected to move and other financial investors can follow similar strategies in pursuit of short-term profits. This can raise the amount of transactions within futures markets. In order to address the negative impact of financial speculation on economies, experts tend to argue that stronger regulations within these markets should be made.[60] The regulations that are currently set in place have very limited restrictions on how much of a commodity market investors can hold.

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[58] Mesfin Bezuneh, and Zelealem Yiheyis, "Has trade liberalization improved food availability in developing countries? An empirical analysis," (2009), https://doi.org/10.22004/ag.econ.51136.

[59] Peter Wahl, "Food speculation: The main factor of the price bubble in 2008," *WEED–Weltwirtschaft, Ökologie & Entwicklung, Briefing Paper. Berlin (Germany) WEED. Retrieved* May 20 (2009): 2011, https://taxjustice-and-poverty.org/fileadmin/Dateien/Kampagnen-Seite/Unterstuetzung_Wissenschaft/WEED_Food_Speculation.pdf.

[60] Anna Chadwick, "Regulating excessive speculation: commodity derivatives and the global food crisis," *International & Comparative Law Quarterly* 66, no. 3 (2017): 625-655, https://www.cambridge.org/core/services/aop-cambridge-core/content/view/E882B244904F390B9FCB1E32810F4D51/S0020589317000136a.pdf/regulating-excessive-speculation-commodity-derivatives-and-the-global-food-crisis.pdf.

The growing body of research on financial speculation in agricultural markets has produced mixed findings, contributing to ongoing debate about its overall impact on food prices, with some studies suggesting that short-term trading may benefit prices.[61] Experts seem to agree that the buying and selling of contracts can increase liquidity within markets, which helps to stabilize markets. However, other experts argue that excessive speculation may cause food prices to be disconnected from supply and demand conditions in agriculture. Increasing price volatility for staple commodities such as rice and palm oil is very complicated as it is believed that factors other than financialization might also have an impact on food inflation.[62] These factors include supply shortfalls due to natural causes and rising costs in production.

Despite market speculation contributing to the inflation of food prices, commodities that are not being heavily traded by investors can also experience price volatility, which suggests that other factors contribute to the inflation of food. As a result, the relationship between financialization and food inflation is much more nuanced than often assumed, with different studies producing mixed and sometimes conflicting findings. Given these complexities, the policy debate has increasingly shifted from a narrow focus on whether market speculation has a negative effect on food prices to broader questions about how involved financial actors should be in agricultural markets, as well as considerations about how global food security is impacted by financial actors.

Corporate Control Over Agricultural Inputs

The growing concentration of corporate control over key agricultural inputs has become an important driver of food financialization. As a result, there has been a shift in ownership, since the emergence of financialization in the 1980s, when it comes to key inputs for food production. Ownership has increasingly consolidated in the hands of a small number of multinational corporations, leading to the concentration of essential

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[61] Algirdas Justinas Staugaitis and Bernardas Vaznonis, "Financial speculation impact on agricultural and other commodity return volatility: Implications for sustainable development and food security," *Agriculture* 12, no. 11 (2022): 1892, https://doi.org/10.3390/agriculture12111892.
[62] ANIS CHOWDHURY, "Food Price Hikes: How Much Is Due to Excessive Speculation?" *Economic and Political Weekly* 46, no. 28 (2011): 12–15, http://www.jstor.org/stable/23017810.

inputs such as seeds and fertilizers and making farmers, particularly small-scale producers, more dependent on a limited set of suppliers for production. This concentration has strengthened the market power of these firms and this causes input costs to rise while farmers' bargaining power remains weak, which reduces income stability and increases exposure to market shocks. Globally, farm bills are in place so that crop grants from the government don't directly go to the farmers that produce them, but rather wealthy corporations and wealthy individuals, and this leaves farmers with little financial support and taxes to pay.[63] This shift in public financial support disproportionately benefits large agribusinesses instead of domestic food production and small and medium-scale farmers, leaving them with little income stability. This would result in small-scale farmers struggling to manage the costs for inputs.

Companies may be bought by larger firms seeking to expand their market share if they experience a significant drop in profitability, while firms may also merge with competitors to reduce operational costs.[64] Mergers and acquisitions largely impact how concentrated food production inputs are, resulting in fewer firms having control over input markets such as seeds, fertilizers, and agrochemicals. As a result, a small group of dominant corporations can gain significant control over essential production inputs, limiting competition and forcing farmers to turn to higher prices for these inputs.

Members in governance models influence the efficiency of farming processes in agricultural production.[65] This way, farmers also can have a say when it comes to how money should be invested, since they know what would be the best for food production. This can help balance control over agricultural inputs between farmers and corporations to ensure that the need for food is prioritized before incentives for profit. However, corporate involvement in agriculture inputs is not inherently negative. In some cases, corporate involvement in agricultural inputs can help improve efficiency gains

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[63] Anuradha Mittal, "The New Face of Agriculture: Alternative Models to Corporate Agribusiness," *Race, Poverty & the Environment* 11, no. 1 (2004): 71–73, http://www.jstor.org/stable/41554437.
[64] Jennifer Clapp, "The rise of big food and agriculture: corporate influence in the food system," In *A research agenda for food systems*, pp. 45-66. Edward Elgar Publishing, 2022, https://doi.org/10.4337/9781800880269.00011.
[65] Fabio Chaddad and Constantine Iliopoulos, "Control rights, governance, and the costs of ownership in agricultural cooperatives," *Agribusiness* 29, no. 1 (2013): 3-22, https://doi.org/10.1002/agr.21328.

particularly in later stages of production like distribution, resulting in a net positive for farming production.[66] Corporate control only has a real negative impact on food production if funds for agriculture are being invested in a way where farmers and overall food security are not being affected negatively. The impact of corporate control depends largely on governance structures and regulatory oversight.

Comparison of Causes

The causes that ultimately lead to food financialization and inflation impact intersect in a way where they collectively shape how global agricultural markets are organized. These causes impact how markets are governed as it gives certain corporations the freedom to use financial instruments for speculative investment, while simultaneously exposing domestic farmers, particularly small-scale farmers, to heightened competition and market instability. Beyond the direct impact of speculative trading, food price volatility is also shaped by broader patterns of corporate financialization.[67] Large firms may increasingly prioritize financial strategies and short-term returns, impacting how food is produced and distributed.

Large corporations have greater access to global capital when trade is liberalized. At the same tine, many farmers continue to face low bargaining power due to structural features of modern agricultural systems, including dependence on a small number of firms that control necessary goods for food production. Despite many arguments being made about financial speculation being the direct cause of food financialization, the empirical relationship between speculative activity and sustained food price volatility remains debated and politically contentious.[68] Even if speculation is not identified as a direct cause of food price volatility, the broader design of liberalized and financially integrated markets and trade flow can amplify price shocks and affect domestic

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[66] Rachael E. Goodhue, "Input Control in Agricultural Production Contracts," *American Journal of Agricultural Economics* 81, no. 3 (1999): 616–20, https://doi.org/10.2307/1244023.
[67] María del Rosario Venegas, Jorge Feregrino, Nelson Lay, and Juan Felipe Espinosa-Cristia, 2024, "Food Financialization: Impact of Derivatives and Index Funds on Agri-Food Market Volatility," https://doi-org.proxy.libraries.rutgers.edu/10.3390/ijfs12040121.
[68] Sean Field, "The Financialization of Food and the 2008–2011 Food Price Spikes," *Environment and Planning A: Economy and Space* 48, no. 11 (July 28, 2016): 2272–90, https://doi.org/10.1177/0308518x16658476.

production and food security. Agricultural systems become increasingly sensitive to price shocks as they are integrated into global financial markets due to these causes.

Projections and Implications

As a consequence, countries that rely on food imports to feed their populations have made their economies become more vulnerable to price shocks. Changes in global supply and trade barriers affect food affordability for these countries. As a result, farmers find themselves hesitant about putting aside money to invest in expanding food production. In export-heavy nations such as India, food prices can increase based on fluctuations in production, as food may need to be imported after a year of exports.[69] These fluctuations in production would cause governments to increase subsidies to keep food prices stable year-round after imports. Along with the reduced availability of food, government budgets are strained if a country is dependent on imports, resulting in a trade-off between spending and other priorities aside from food security. Social unrest, as seen with the Arab Spring in 2012, can be caused by food inflation. Protests sparked over rising food prices in the MENA region, because of how households couldn't afford to spend their income on food on top of other necessities; this also caused a cycle in where this instability disrupted food production.

Uncertainty is created between both producers and consumers with these fluctuations. The problem here lies within the planning for food production in the future and households spending more on food by shifting away from other necessities. Moreover, inflation signals short-term profit for traders and essentially encourages the buying and selling of commodities. According to José Graziano da Silva, the Director General of the Food and Agriculture Organization (FAO), food price volatility is a cause of speculation in financial markets and requires global attention.[70] Global supply and

[69] RAMESH CHAND, "Understanding the Nature and Causes of Food Inflation," *Economic and Political Weekly* 45, no. 9 (2010): 10–13, http://www.jstor.org/stable/25664159.
[70] Valentina G. Bruno, Bahattin Büyükşahin, and Michel A. Robe, "The Financialization of Food?" *American Journal of Agricultural Economics* 99, no. 1 (2017): 243-264, https://doi.org/10.1093/ajae/aaw059.

demand can remain constant even when price swings are amplified by speculation. Markets become more unpredictable. Therefore, price instability directly affects food security within local markets because major fluctuations make it difficult for communities to plan for food.

The four companies control sixty percent of the global seed market and seventy percent of the agrochemical market when Bayer acquired Monsanto in 2018.[71] At the moment, only a few agribusinesses have control over agricultural inputs globally. The number of major firms within the agricultural sector have gone from six to four agribusiness firms through mergers, making the sector extremely concentrated.[72] Farmers are forced to rely on a few companies for inputs like seeds and fertilizers. These mergers reduce competition and consolidate control over the quality of the products they sell, which directly affects the efficiency of food production. Farmers have less choice over inputs as companies can decide how much they sell for. If there continues to be minimal intervention when it comes to the influence of agribusinesses on food production, then food markets would still be highly concentrated and farmers would have to rely on these corporations for agricultural inputs.

Committee Jurisdiction

The United Nations Conference on Trade and Development (UNCTAD) committee is responsible for creating a space where member states are able to examine trade policies and implement strategies to promote economic growth. With specific discussions on price inflation, economic stability, speculative trading, and corporate practices, the committee is able to delve into how investor activities result in the affordability of food. The committee is only able to act on specific topics that are placed

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[71] Jennifer Clapp, "The rise of big food and agriculture: corporate influence in the food system," 2022.
[72] Jennifer Clapp, "The rise of big food and agriculture: corporate influence in the food system," 2022.

in its agenda as the Trade and Development Board controls the items referred to it.[73] This is to ensure that issues presented during meetings are relevant to the priorities of UNCTAD. Additionally, this system that is in place will allow for discussions between nations that are actionable without any discrepancies.

UNCTAD allows for the consideration of proposals that directly affect finance and global trade. A forum is provided as nations can effectively analyze market trends and discuss the implications of policy decisions on food security. UNCTAD can address specific proposals that have an impact on a nation's economy, as authority is given based on the evaluation of trade and financial policies.[74] The committee can recommend interventions, along with proposing frameworks that limit the effects of speculation within global food markets. The respect of procedural rules is taken into consideration to ensure that all proposals are evaluated effectively. Ultimately, member states can address risks and create solutions to create sustainable development.

Within the context of the committee's procedural framework that has been established, items listed within the agenda should be considered before any action is taken.

As member states cooperate within the Conference, the commitment to improve transparency ensures more stable economic results.[75] Any proposals that involve any implications that impact economic stability should be handled carefully to determine their viability. As the committee is responsible to evaluate trade and financial policies, UNCTAD can guide interventions that have an effect on the availability of food commodities and its inflated prices. The recommendation of regulations that can limit speculation within global food markets. Although UNCTAD is unable to force member states to implement these measures, the guidance of national policies can allow for

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[73] United Nations Conference on Trade and Development (UNCTAD), "Rules of Procedure of the United Nations Conference on Trade and Development and its Subsidiary Bodies," 2019, https://unctad.org/system/files/official-document/issmisc2019d2_en.pdf.
[74] United Nations Conference on Trade and Development (UNCTAD), "Rules of Procedure of the United Nations Conference on Trade and Development and its Subsidiary Bodies," 2019.
[75] United Nations Conference on Trade and Development (UNCTAD), "Food Commodities, Corporate Profiteering and Crises: Revisiting the International Regulatory Agenda," 14 Feb. 2023, https://unctad.org/system/files/official-document/tdr2023ch3_en.pdf.

actionable steps towards the stabilization of food markets. Both food security and economic stability can be supported through this oversight.

Conclusion

The financialization of food and its inflation impact has turned agricultural commodities into assets. In order to make short-term profits, agribusinesses and investors buy and sell futures contracts on crops produced by domestic farmers, increasing food prices and making it unaffordable for vulnerable populations. Exporting and importing nations are also influenced by unpredictable prices caused by international markets; the nation's economy is dependent on food production decisions. Trade liberalization, or in other words, the free movement of trade, also takes place with low trade barriers, as price shocks pass through domestic markets. Financial institutions started to invest in commodity futures in the early 2000s as a result of the belief that prices would increase in liberalized derivatives markets.[76] This emergence of speculative investment created new risks for food security, regardless of global supply and demand. Rapid trading and other financial activities performed by investors can amplify price volatility. With that, the addition of corporate control over agricultural inputs like seeds and fertilizers allow companies to influence the prices of these inputs, potentially limiting their access to small or mid-sized farmers. Thus, the influence of corporate market concentrations and trade liberalization in agricultural systems results in the increasing volatility of food prices.

Vulnerabilities within agricultural systems across the world are most prevalent when financial crises and trade activities converge. Over time, market distortions add up through corporate control and limited access to finance, and can amplify price risks for both producers and consumers. Structural weaknesses in agricultural systems result in small price shocks, which lead to food inflation. During the 2007 to 2008 global food

[76] Geoffrey Lawrence and Kiah Smith, "The concept of 'financialization': Criticisms and insights," *In The Financialization of Agri-Food Systems,* pp. 23-41. Routledge, 2018, https://www.taylorfrancis.com/chapters/edit/10.4324/9781315157887-2/concept-financialization-geoffrey-lawrence-kiah-smith.

crisis, the prices of maize and wheat doubled and rice prices tripled globally.[77] Both trade policies and financial activities are interconnected in times of crises, meaning shocks can affect food affordability. The United Nations Conference on Trade and Development (UNCTAD) identifies trade as the most important aspect of agricultural production since it directly determines food security for importing and exporting nations.[78] Countries are becoming more susceptible to these external shocks. Along with that, the limited access to credit and loans for farmers and the concentration of the agricultural sector have created the increasing volatility of food prices globally. UNCTAD continues to pursue goals regarding sustainable development, and linking the issues of financialization can affect food security in the long term.

Discussion Questions

- How can UNCTAD improve oversight on speculative activity, such as trading, futures, and hedging, to protect the inflation of food prices?
- What do agribusinesses contribute to the concentration of power in food markets and how should their influence be regulated?
- How does financializing food increase the volatility of commodity prices and help stabilize them during an economic crisis?
- How can farmers be protected as corporations have control over inputs like seeds or fertilizers, while also raising costs of production?
- What types of trade policies can UNCTAD suggest to help importing nations reduce the exposure to food inflation?
- How should national governments balance food as a commodity to trade and a human need?

[77] Derek D. Headey, "The impact of the global food crisis on self-assessed food security," 2013.
[78] "Exploring Trade Actions to Fight Acute Food Insecurity and the Threat of Famine," 2025, *UN Trade and Development (UNCTAD)*, 30 Jul. 2025, https://unctad.org/news/exploring-trade-actions-fight-acute-food-insecurity-and-threat-famine.

- How can UNCTAD facilitate cooperation between its member states to stabilize food markets?

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For Further Reading

"Financialisation of Food." *Finance Watch*. 5 Jun. 2019. https://www.finance-watch.org/understand-finance/dashboard/financialisation-of-food/.

This article analyzes how financialization causes price volatility through speculative trading. It goes into detail about how derivatives are used to speculate on the price of crops and how it affects the individual farmer's produce. The article also projects future changes to the finance of agriculture.

"Food Inflation: The Math Doesn't Add up without Factoring in Corporate Power." *Grain.org*. 2024. https://grain.org/en/article/7120-food-inflation-the-math-doesn-t-add-up-without-factoring-in-corporate-power.

This article explains the influence of corporate power on the inflation of food prices through institutions like the World Bank and the International Monetary Fund. During crises, speculation in commodities allows for investors to seek profit from food. There is a call for regulating financialization to reduce corporate power in the agricultural system.

Martinchek, Kassandra, Poonam Gupta, Michael Karpman, and Dulce Gonzalez. "As Inflation Squeezed Family Budgets, Food Insecurity Increased between 2021 and 2022." *Urban Institute*. 21 Mar. 2023.

https://www.urban.org/research/publication/inflation-squeezed-family-budgets-food-insecurity-increased-between-2021-and-2022.

This article presents statistics regarding food insecurity in 2022 following the COVID-19 pandemic. It talks about how less people used food charities compared to just a few years ago and how many families recognized the increase of grocery prices. Families tended to either buy less food or find cheaper alternatives.

Nchako, Catlin. "Food Insecurity Rises for the Second Year in a Row | Center on Budget and Policy Priorities." *Center on Budget and Policy Priorities*. 6 Sep. 2024. https://www.cbpp.org/blog/food-insecurity-rises-for-the-second-year-in-a-row.

This article examines food insecurity in the United States. More people found themselves being unable to afford enough food for a second year in a row in 2023. Government programs were set in place to combat this issue, but the ending of some of these programs resulted in families finding it harder to find affordable food prices.

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